

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$111.56 ▼ 0.83%	12M Price Target \$125.00	52-Week Range \$63.52 – \$153.86	Market Cap \$100.31B
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HOOD: Cooling After HOOD Summit Hype, Policy Crosswinds Loom

WHAT HAPPENED

- HOOD is down about 7% from last week's \$119 high after the big "HOOD Summit" where they announced 24/7 trading, AI agents, and a push into private markets. Classic "buy the rumor, sell the news" — the hype got priced in before the event, and now people are taking profits.
- Overnight headlines got darker: Benzinga flagged warnings about prediction markets creating "perverse incentives" (specifically war betting as Trump escalates Iran rhetoric), and a separate piece called out "financial nihilism" being monetized by apps like HOOD. The vibe is shifting from "cool innovation" to "is this socially harmful?" — which usually precedes regulatory noise.

WHY IT MATTERS

Here's the thing — HOOD's growth story (crypto, prediction markets, tokenized stocks, 24/7 trading) is almost entirely dependent on a permissive regulatory environment. The Trump administration has been crypto-friendly so far, which is why HOOD ran from \$63 to \$153 this year. But the Iran war-betting controversy is exactly the kind of story that creates bipartisan backlash — Democrats hate the gambling angle, Republicans hate the "betting against America" angle. If prediction markets get reined in by the CFTC, HOOD loses one of its hottest growth narratives. The options flow confirms the nervousness: put/call ratio of 0.36 looks bullish on the surface, but there's unusual put buying at \$111-112 strikes, meaning smart money is hedging the next leg down even while betting on upside.

POLICY & POLITICAL WATCH

Two things to watch: (1) The CFTC's posture on event contracts/prediction markets — Kalshi won its court case last year opening the door, but the Iran war-bet controversy could trigger emergency rulemaking. HOOD just launched prediction markets as a major revenue line, so this matters. (2) The SEC's framework for tokenized equities (stock tokens) is still being written — Vlad Tenev is lobbying hard, but if the EU's MiCA-style rules get adopted here, compliance costs spike. Net-net: regulatory environment is friendlier than under Gensler, but HOOD is skating closer to the edge than any competitor.

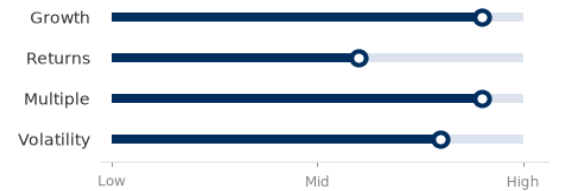
IS IT EXPENSIVE?

At \$111, HOOD trades around 24x forward revenue and roughly 60x forward earnings — meaning you're paying \$60 for every \$1 of profit the company is expected to make next year. That's expensive for a broker (Schwab trades around 18x earnings), but HOOD is growing revenue 40%+ versus Schwab's single digits. The valuation is only justified if crypto trading volumes stay elevated AND prediction markets scale AND regulators stay out of the way — that's three "ands," which is why I'd call this fully priced, not cheap.

Key Data

Price (USD)	\$111.56
12M Price Target	\$125.00
Upside / (Downside)	+12.0%
Market Cap	\$100.31B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	60.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$112.00	\$98.00
6 Months	\$150.00	\$120.00	\$85.00
1 Year	\$175.00	\$125.00	\$75.00
2 Years	\$220.00	\$150.00	\$65.00
5 Years	\$350.00	\$200.00	\$50.00
10 Years	\$600.00	\$300.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.84%) on Iran escalation fears, and Tech (+1.04%) continues to grind higher on AI capex. Energy's move is a geopolitical risk-on/risk-off tell.

COOLING OFF: Consumer Staples and Consumer Discretionary are both weak on the week — classic late-cycle signal that consumer is getting squeezed.

ROTATION WATCH: Money is rotating into energy and defensive-growth (tech mega-caps) while fintech/broker names like HOOD, SOFI consolidate. The "sit out the rally" headline on HOOD and SOFI today tells you fintech is in a digestion phase after a monster run.

RELATED PLAY: If prediction markets survive the political heat, Kalshi (private) and IBKR (Interactive Brokers) are the second-order winners. On the crypto side, COIN moves in near-lockstep with HOOD on sentiment.

WHO'S WINNING IN THIS SPACE?

- NU (Nu Holdings): Up 3% today after ruling out the Monzo deal — investors rewarded capital discipline over empire-building
- IBKR (Interactive Brokers): Steadier compounder benefiting from the same retail trading boom but with less regulatory tail risk

HOOD CONTEXT: HOOD is lagging its fintech peer group today ("sit out the rally" per 24/7 Wall St), which suggests the Summit catalyst is spent and the stock needs a new narrative — likely Q3 earnings in early November — to break out of this \$105-120 range.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Love the business momentum, hate the valuation and regulatory tail risk at these levels. Not pounding the table.

POSITION SIZE: 2-4% — this is a high-beta name that can swing 10% in a week, so size it where you can sleep at night

ENTRY POINTS: I'd wait for a pullback to \$95-105, which is where the stock bounced in late August. Chasing at \$111 after a \$153 high isn't a great risk/reward.

TIME HORIZON: 12-24 months — the real catalyst is seeing if prediction markets and tokenized stocks scale into meaningful revenue by mid-2027

WHEN TO BAIL: Exit if the CFTC announces restrictions on event contracts, if crypto trading revenue drops >25% QoQ, or if the stock breaks \$95 on heavy volume

HEDGING: Simplest hedge is to pair with a boring broker like Schwab (SCHW) — if regulators crack down on HOOD, SCHW benefits. Or just buy a cheap put option 10% below current price as crash insurance.